- *Mark Leonard, Constellation Software (CSU:tsx)*. He called it a "small but excellent company in Canada." Then it hit me. I knew where I'd read about this company: in J. P. Donville's ROE Reporter. I dug out Donville's note. Here is an excerpt:

> I am a fan of technology companies, and two companies that we have looked at frequently over the years are Constellation Software and Descartes Systems. Both companies are very successful software companies and thus they each get high marks in terms of making and selling things. But we have chosen to own Constellation Software over Descartes because we think the former is a much better allocator of capital. Constellation's return on equity (as we measure it) is typically three times higher than that of Descartes. … Constellation's superior capital allocation strategy has made a significant difference in terms of its long-term share price performance.

I'll say. Constellation ran from about C$24 per share to C$322 since going public in 2007. That's a 13-bagger. Over the same time, Descartes was a four-bagger.

Joe Chidley of Canada's Globe and Mail wrote a piece about CEO Mark Leonard in April of 2014 ("Constellation Software's Elusive CEO"). He wrote, Leonard "has been favorably compared to Warren Buffett and Prem Watsa [the head of Fairfax Financial]." Leonard also manages a striking level of anonymity for someone with such success in a public company.

Constellation is a Danaher-like roll-up. It buys a lot of companies, fixes them and reinvests the cash. It made 30 acquisitions in 2013.

There is no shortage of targets. The company maintains it has a database of 10,000 acquisition targets.

Leonard is also a big shareholder, with a stake worth over C$400 million. "And he is very protective of shareholders," the Globe notes. "Since 2007, Constellation has not issued a single share."

It's an incredible story. Constellation is a worthy Outsider for that second edition.